



CHAPTER 108.

An Act to restrict the rights of mortgagees to obtain possession of mortgaged land; and to amend the Courts (Emergency Powers) Act, 1939.
[21st September 1939.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1.—(1) Where any land is the subject of a mortgage made before the third day of September nineteen hundred and thirty-nine, the mortgagee shall not be entitled to obtain possession of the land, unless default has been made in payment of the mortgage money or any part thereof or of any interest thereon, or there has been a breach on the part of the mortgagor, or of some person concurring in the making of the mortgage, of any obligation arising under or by virtue of the mortgage, other than an obligation to pay the mortgage money or interest thereon.

Restriction of right of mortgagee to possession of mortgaged land.

(2) For the purposes of this section, default shall not be deemed to have been made in payment of any mortgage money, unless a written demand for payment has been served on the person liable, and a period of three months has elapsed since the service of the demand :

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Provided that this subsection shall not apply where the mortgage money is repayable by instalments.

(3) This section shall not apply where the mortgagee has obtained possession of the land before the passing of this Act, but, save as aforesaid, shall apply in relation to proceedings commenced before the passing of this Act as well as in relation to proceedings commenced thereafter; and where an order or judgment for the recovery or delivery of possession of land by a mortgagee thereof has been made or given before the passing of this Act, then, unless the contrary appears, there shall be deemed to have been a default in the payment of money and the order or judgment shall be deemed to have been made or given by reason of that default:

Provided that the court by which any such order or judgment was made or given may, on the application of any party to the proceedings, rescind or vary it in such manner as appears to be just in view of the provisions of this section.

(4) This section shall not extend to Scotland.

Amendment
of s. 1 (3) of
Courts
(Emergency
Powers)
Act, 1939.
2 & 3 Geo. 6.
c. 67.

2.—(1) Subsection (3) of section one of the Courts (Emergency Powers) Act, 1939 (which prevents persons proceeding without the leave of the court to execution on judgments and orders for the recovery of possession of land in default of payment of rent) shall have effect as if after the words "payment of rent" there were inserted the words "or for the recovery of possession of land by a mortgagee thereof by reason of a default in the payment of money."

(2) At the end of section three of the said Act (which relates to interpretation) there shall be inserted the following subsection:—

"(2) References in this Act to judgments or orders for the recovery of possession of land include references to any judgment or order the effect of which is to enable a person to obtain possession of land, and in particular includes in relation to a mortgagee, a judgment or order for the delivery of possession of land."

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**Short title,
duration
and extent.**

(3) It is hereby declared that this Act extends to Northern Ireland.